NEED TO KNOW

WHAT THE NEW TAX LAWS MEAN TO YOU

Be on top of the changes in tax laws this financial year to make adjustments to the way you treat savings, investments and taxation

A new financial year often comes with change in income tax laws. Some new rules bridge gaps that existed in the past. Others address fresh developments, calling for introducing new tax rules based on the Union Budget presented earlier this year.

Covid has also played a role in changing tax rules, especially when it comes to financial assistance received by people towards treatment of Covid-19. Any such money received is tax free. Likewise, money up to ₹10 lakh received by family members due to death due to Covid is tax free. This limit doesn't include insurance proceeds. Let us look at the changes and their impact. ■

—**Narayan Krishnamurthy**



Illustration by SIDDHANT JUMDE

IMPACT OF HDFC-HDFC BANK MERGER ON MUTUAL FUNDS

The combined weight of the two stocks will be significant in bellwether indices Nifty and Sensex, which will also impact the exposure mutual funds can have in the merged entity

- News surrounding the merger of HDFC with HDFC Bank has been received favourably within the investing community. But the merger poses challenges, especially for equity mutual fund managers. One impediment is in schemes where the combined exposure to the two stocks is over 10% of the assets managed by the fund. Mutual funds are permitted a maximum 10% exposure to a single stock to comply with risk management framework stipulated by the regulator.
- On March 31, 2022, HDFC Bank had 8.43% weightage and HDFC, 5.66%



weightage in the Nifty50 index, taking their combined equity weight to 14.09%. This is well over the mandatory 10% weightage that mutual funds are permitted and will impact many fund schemes. Should investors worry? No. The merger is likely to take 15-18 months, which means adjusting portfolios will be a gradual process. This way, fund managers will be able to pare their portfolios without any knee-jerk reaction.

- Active fund managers may have one less stock to choose from for their portfolios. Investors in passive funds like ETFs (exchange traded funds) can worry less as any change in the benchmark indices will be mimicked when the merged entity is included in the index. Actively managed fund portfolios will have time and follow investing opportunities than blindly change their allocations. If you observe any fluctuation in core allocation made by funds you hold, it is more likely to do with this changing scenario.